

Principles of Cost Accounting (1)

Solved Exercises: Lecture One to Lecture Three

Complete questions, correct answers, and concise reasons

How this document was prepared

1. Every question is rewritten with all of its answer choices, the correct choice is marked, and a short reason follows.
2. Every answer is solved according to the header of its question (for example: Required items a, b, c) and uses only the three lecture PDFs (L_1, L2, L_3) as the authoritative source.
3. Formulas used: $Y = A + BX$; $B = \text{change in cost} / \text{change in level (high-low)}$; $\text{Rate} = \text{total indirect cost} / \text{total allocation base}$; Normal costing uses the budgeted rate $\times$ ACTUAL quantity of the base; $\text{Difference} = \text{Applied MOH} - \text{Actual MOH}$ (+ overapplied, - underapplied).
4. One transparency note: the lectures show journal entries only as an account-flow diagram with numbered steps. They do not print Debit/Credit labels. Lecture 3 MCQ 8 and Section D therefore use the standard debit/credit convention for labeling only. All amounts and the account flow come from the lectures.
5. A concise answer key for all questions is at the end of the document.

LECTURE 1: COST CONCEPTS AND COST BEHAVIOR

A. Multiple-Choice Questions

1. [Easy] The primary purpose of management accounting is to:

- A. Prepare tax returns
- B. Provide information to external investors only
- C. Help managers in planning and decision-making (Correct)**
- D. Audit published financial statements

Correct answer: C

Reason: The lecture defines management accounting as measuring, analyzing and reporting information to help managers make decisions to achieve organizational goals.

2. [Easy] Which of the following is normally assigned to a cost object through cost tracing?

- A. Indirect cost
- B. Direct cost (Correct)**
- C. Common fixed cost
- D. Manufacturing overhead only

Correct answer: B

Reason: Cost tracing is the assignment of direct cost to a cost object. Indirect cost is allocated, not traced.

3. [Easy] If the total variable cost is \$36,000 for 6,000 units, the variable cost per unit is:

- A. \$5
- B. \$6 (Correct)**
- C. \$30
- D. \$42

Correct answer: B

Reason: Cost per unit = total cost / volume = 36,000 / 6,000 = \$6.

4. [Moderate] Within the relevant range, when production volume increases:

- A. Total fixed cost increases proportionately
- B. Variable cost per unit decreases
- C. Total variable cost remains constant
- D. Fixed cost per unit normally decreases (Correct)**

Correct answer: D

Reason: Total fixed cost stays the same, so fixed cost per unit decreases as volume increases. Variable cost per unit is constant and total variable cost rises.

5. [Moderate] Which equation represents a mixed cost?

- A. $Y = A$
- B. $Y = BX$
- C. $Y = A + BX$ (Correct)**
- D. $Y = A / X$

Correct answer: C

Reason: The lecture gives the mixed (total) cost equation as $Y = A + BX$ (fixed part plus variable part).

6. [Moderate] Which of the following is most likely a manufacturing overhead cost?

- A. Wood used in furniture
- B. Wages of workers assembling the product
- C. Salary of the factory supervisor (Correct)**
- D. Sales commission

Correct answer: C

Reason: Factory supervisors are listed as indirect labor, which is manufacturing overhead. Wood is direct material, assembly wages are direct labor, and sales commission is non-manufacturing.

7. [Advanced] Prime cost is \$72,000. Direct materials are \$30,000 and conversion cost is \$90,000. Total manufacturing cost equals:

- A. \$90,000
- B. \$102,000
- C. \$120,000 (Correct)**
- D. \$162,000

Correct answer: C

Reason: $DL = 72,000 - 30,000 = 42,000$. $MOH = 90,000 - 42,000 = 48,000$. Manufacturing cost = prime cost + MOH = $72,000 + 48,000 = 120,000$.

8. [Advanced] Maintenance cost is \$14,000 at 2,000 machine-hours and \$26,000 at 5,000 machine-hours. Using the high-low method, the variable cost per machine-hour is:

- A. \$4 (Correct)**
- B. \$6
- C. \$8
- D. \$12

Correct answer: A

Reason: $B = (26,000 - 14,000) / (5,000 - 2,000) = 12,000 / 3,000 = \4 per machine-hour.

B. True or False

1. [Easy] A cost may be direct for one cost object and indirect for another cost object.

Correct answer: True

Reason: The lecture states any cost may be direct or indirect according to its relation to the cost object.

2. [Easy] Variable cost per unit normally increases as production increases.

Correct answer: False

Reason: Variable cost per unit is constant. Only total variable cost increases.

3. [Easy] Total fixed cost remains constant within the relevant range.

Correct answer: True

Reason: Fixed cost is fixed within its relevant range and for a given time period.

4. [Moderate] Average fixed cost normally decreases when activity increases.

Correct answer: True

Reason: Total fixed cost is spread over more units, so cost per unit decreases.

5. [Moderate] Manufacturing overhead includes direct materials and direct labor.

Correct answer: False

Reason: Manufacturing overhead is any manufacturing cost EXCEPT direct materials or direct labor.

6. [Advanced] Using the average total cost at one activity level to estimate total cost at a substantially different activity level may produce an inaccurate result.

Correct answer: True

Reason: Average fixed cost changes with volume, so average total cost cannot be reused for another volume.

C. Short Exercises

Exercise 1: Cost Classification [Easy]

A furniture company incurs the following costs: wood used in tables \$40,000; wages of assembly workers \$25,000; factory supervisor salary \$8,000; factory rent \$12,000; sales commission \$5,000.

Required:

Classify each cost as Direct Materials, Direct Labor, Manufacturing Overhead, or Non-manufacturing Cost.

Solution

Cost	Amount	Classification
Wood used in tables	\$40,000	Direct Materials
Wages of assembly workers	\$25,000	Direct Labor
Factory supervisor salary	\$8,000	Manufacturing Overhead (indirect labor)
Factory rent	\$12,000	Manufacturing Overhead (other MOH)
Sales commission	\$5,000	Non-manufacturing Cost (selling)

Reason: The lecture's own examples: wood is direct material, workers who assemble are direct labor, supervisors and factory rent are overhead, and selling costs are non-manufacturing. Sales commission is placed under the lecture's selling-cost category by application.

Exercise 2: Mixed Cost and High-Low Method [Moderate]

Maintenance costs were: 2,000 hours = \$18,000 and 5,000 hours = \$30,000.

Required:

- Calculate variable cost per hour.
- Calculate total fixed cost.
- Formulate the cost equation.
- Estimate cost at 4,200 hours.

Solution

Item	Calculation	Result
a. Variable cost per hour (B)	$(30,000 - 18,000) / (5,000 - 2,000)$	\$4 per hour
b. Total fixed cost (A)	$30,000 - (4 \times 5,000)$ [check: $18,000 - 4 \times 2,000$]	\$10,000
c. Cost equation	$Y = A + BX$	$Y = 10,000 + 4X$
d. Cost at 4,200 hours	$10,000 + (4 \times 4,200)$	\$26,800

Reason: The high-low method uses the highest and lowest activity levels to find B, then substitutes into $Y = A + BX$ to find A, exactly as in the lecture's maintenance example.

Exercise 3: Prime and Conversion Costs [Moderate]

Prime cost is \$120,000. Direct materials are \$45,000. Conversion cost is \$160,000.

Required:

- Direct labor
- Manufacturing overhead
- Total manufacturing cost

Solution

Item	Calculation	Result
a. Direct labor	Prime cost - DM = 120,000 - 45,000	\$75,000
b. Manufacturing overhead	Conversion cost - DL = 160,000 - 75,000	\$85,000
c. Total manufacturing cost	DM + DL + MOH = 45,000 + 75,000 + 85,000	\$205,000

Reason: Prime cost = DM + DL; conversion cost = DL + MOH; manufacturing cost = DM + DL + MOH (check: prime 120,000 + MOH 85,000 = 205,000).

Exercise 4: Cost Function and Unit Cost [Advanced]

A company's cost function is $Y = 30,000 + 8X$.

Required:

- Total cost at 4,000 units.
- Average cost per unit at 4,000 units.
- Total cost at 5,000 units.
- Explain why using the average cost calculated in (b) to estimate the cost of 5,000 units would be misleading.

Solution

Item	Calculation	Result
a. Total cost at 4,000	$30,000 + (8 \times 4,000)$	\$62,000
b. Average cost at 4,000	$62,000 / 4,000$	\$15.50 per unit
c. Total cost at 5,000	$30,000 + (8 \times 5,000)$	\$70,000
d. Explanation	$15.50 \times 5,000 = \$77,500$, which overestimates the true \$70,000 by \$7,500.	Misleading

Reason: Average total cost = average variable cost (constant) + average fixed cost (decreases as units rise). So the \$15.50 average is too high at 5,000 units. The lecture says unit cost cannot be reused for another volume.

LECTURE 2: JOB ORDER COSTING

A. Multiple-Choice Questions

1. [Easy] Job-order costing is most appropriate for:

- A. Oil refining
- B. Soft-drink production
- C. Custom furniture manufacturing (Correct)**
- D. Flour milling

Correct answer: C

Reason: Job costing is used for unique products made to customer order. The lecture lists a custom furniture manufacturer as job costing; refining and milling are process costing.

2. [Easy] The document used to record direct materials used on individual jobs is:

- A. Labor time record
- B. Material requisition record (Correct)**
- C. Income statement
- D. Finished goods ledger

Correct answer: B

Reason: The material requisition record records the quantity and cost of DM used in different jobs.

3. [Easy] A labor time record is primarily used to identify:

- A. Materials purchased
- B. Number and cost of labor hours used by jobs (Correct)**
- C. Factory rent
- D. Finished goods inventory

Correct answer: B

Reason: The labor time record records the number and cost of labor hours used in different jobs.

4. [Moderate] Under actual costing, the overhead rate equals:

- A. Budgeted MOH / Budgeted allocation base
- B. Actual MOH / Actual allocation base (Correct)**
- C. Actual MOH / Budgeted allocation base
- D. Budgeted MOH / Actual allocation base

Correct answer: B

Reason: Actual indirect cost rate = actual MOH / actual units of the cost allocation base.

5. [Moderate] Under normal costing, overhead allocated to a job equals:

- A. Actual rate x Budgeted activity
- B. Budgeted rate x Budgeted activity
- C. Budgeted rate x Actual activity used by the job (Correct)**
- D. Actual MOH x Actual activity

Correct answer: C

Reason: Normal costing = budgeted indirect cost rate x actual quantity of the allocation base used by the job.

6. [Moderate] If Applied MOH - Actual MOH is positive, MOH is:

- A. Underapplied
- B. Overapplied (Correct)**
- C. Unallocated
- D. Variable

Correct answer: B

Reason: Difference = Applied MOH - Actual MOH; a positive result is overapplied, a negative result is underapplied.

7. [Advanced] An unfinished job at the end of the accounting period should normally be included in:

- A. Finished Goods
- B. Cost of Goods Sold
- C. Work in Process (Correct)**
- D. Raw Materials

Correct answer: C

Reason: An order that is not finished is recorded in the work in process account.

8. [Advanced] A company with machine-intensive and labor-intensive departments will often improve overhead allocation by using:

- A. No allocation base
- B. One arbitrary rate for all costs
- C. Separate departmental cost pools and suitable allocation bases (Correct)**
- D. Direct materials as the only cost category

Correct answer: C

Reason: The lecture allows a separate cost pool for each department, and each cost pool needs its own allocation base. (The words 'machine-intensive' and 'labor-intensive' come from the question; C is the only choice consistent with the lecture.)

B. True or False

1. Direct materials and direct labor are actual costs under both actual and normal costing.

Correct answer: True

Reason: The lecture summary: DM and DL are actual cost under both systems; only MOH differs.

2. Normal costing requires the company to wait until year-end before determining the cost of a completed job.

Correct answer: False

Reason: Waiting until year-end is actual costing. Normal costing uses a budgeted rate, so the cost and selling price of a job can be determined when it is finished.

3. Each indirect cost pool requires an appropriate allocation base.

Correct answer: True

Reason: Each cost pool needs an allocation base to allocate its cost to cost objects.

4. Process costing is normally more appropriate for highly customized products.

Correct answer: False

Reason: Process costing is for identical, homogeneous units regardless of customer requirements. Customized products use job costing.

5. An underapplied overhead balance occurs when applied overhead is lower than actual overhead.

Correct answer: True

Reason: Underapplied means the recorded (applied) MOH is less than actual MOH.

6. Under actual costing, total allocated overhead based on the actual rate will equal total actual overhead.

Correct answer: True

Reason: Actual rate x actual base equals actual MOH, so there is no under- or overapplied overhead under actual costing.

C. Short Exercises

Exercise 1: Normal Costing [Easy-Moderate]

Budgeted MOH = \$720,000. Budgeted machine-hours = 24,000 hours. Job 315 has: direct materials = \$18,000; direct labor = \$12,000; actual machine-hours = 400.

Required:

- Predetermined MOH rate
- MOH applied to Job 315
- Total cost of Job 315

Solution

Item	Calculation	Result
a. Predetermined MOH rate	$720,000 / 24,000$	\$30 per machine-hour
b. MOH applied to Job 315	30×400 actual machine-hours	\$12,000
c. Total cost of Job 315	$18,000 + 12,000 + 12,000$	\$42,000

Reason: Normal costing: budgeted rate x actual quantity of the base used by the job; then total cost = direct cost + indirect cost.

Exercise 2: Actual Costing vs. Normal Costing [Moderate]

Budgeted MOH = \$600,000. Budgeted direct labor cost = \$300,000. Actual MOH = \$660,000. Actual direct labor cost = \$300,000. Job 420: DM = \$50,000; DL = \$20,000.

Required:

Calculate the job cost under: a. Normal costing; b. Actual costing.

Solution

Item	a. Normal costing	b. Actual costing
Rate (base = direct labor cost)	$600,000 / 300,000 = 2.0$ (200%)	$660,000 / 300,000 = 2.2$ (220%)
Direct materials	\$50,000	\$50,000
Direct labor	\$20,000	\$20,000
MOH	$2.0 \times 20,000 = \$40,000$	$2.2 \times 20,000 = \$44,000$
Total job cost	\$110,000	\$114,000

Reason: The data give direct labor cost, so it is the allocation base (as in the lecture's E 4-17). Normal costing uses the budgeted rate; actual costing uses the actual rate.

Exercise 3: Underapplied or Overapplied MOH [Moderate]

Actual MOH = \$510,000. Applied MOH = \$480,000.

Required:

- Determine the difference.
- State whether MOH is underapplied or overapplied.

Solution

Item	Calculation	Result
a. Difference	Applied - Actual = 480,000 - 510,000	- \$30,000
b. Status	Negative difference	Underapplied by \$30,000

Reason: A negative result of Applied MOH - Actual MOH means underapplied MOH.

Exercise 4: Integrated Job Costing Case [Advanced]

A company estimates annual MOH of \$900,000 and 45,000 machine-hours. Job 725 requires: DM = \$32,000; DL = \$18,000; 1,200 machine-hours. At year-end, actual MOH is \$940,000 and total actual machine-hours are 44,000.

Required:

- Budgeted MOH rate
- Applied MOH to Job 725
- Total normal cost of Job 725
- Total MOH applied during the year
- Under- or overapplied MOH

Solution

Item	Calculation	Result
a. Budgeted MOH rate	900,000 / 45,000	\$20 per machine-hour
b. Applied MOH to Job 725	20 x 1,200	\$24,000
c. Total normal cost	32,000 + 18,000 + 24,000	\$74,000
d. Total MOH applied	20 x 44,000 actual machine-hours	\$880,000
e. Difference	880,000 - 940,000	- \$60,000 (underapplied)

Reason: Normal costing applies the budgeted rate to ACTUAL hours; the year-end difference is applied MOH minus actual MOH.

LECTURE 3: DISPOSITION OF UNDER/OVERAPPLIED MOH

The lecture uses the rule $\text{Applied MOH} - \text{Actual MOH}$, where a positive difference is overapplied and a negative difference is underapplied. It presents immediate write-off to COGS and two proration approaches using either applied MOH or ending balances.

A. Multiple-Choice Questions

1. [Easy] Underapplied overhead means:

- A. Applied MOH exceeds actual MOH
- B. Actual MOH exceeds applied MOH (Correct)**
- C. Actual MOH equals zero
- D. Applied MOH equals actual MOH

Correct answer: B

Reason: Underapplied means the recorded (applied) MOH is less than actual MOH.

2. [Easy] If underapplied MOH is written off immediately, it is normally:

- A. Deducted from COGS
- B. Added to COGS (Correct)**
- C. Added to Sales
- D. Deducted from WIP only

Correct answer: B

Reason: Under immediate write-off, the difference is added to COGS if underapplied (deducted if overapplied).

3. [Easy] Under the immediate write-off method, the entire overhead difference is adjusted to:

- A. Raw Materials
- B. Work in Process
- C. Cost of Goods Sold (Correct)**
- D. Sales Revenue

Correct answer: C

Reason: The whole difference goes to Cost of Goods Sold.

4. [Moderate] Under the proration approach, the overhead difference may be allocated among:

- A. Cash, A/R and Inventory
- B. WIP, Finished Goods and COGS (Correct)**
- C. Sales, Purchases and Cash
- D. Direct Materials and Direct Labor only

Correct answer: B

Reason: The lecture prorates the difference among ending work in process, ending finished goods and cost of goods sold.

5. [Moderate] When proration is based on applied MOH, each account's percentage is calculated using:

- A. Its sales value
- B. Its ending balance
- C. Its applied MOH / Total applied MOH (Correct)**
- D. Its direct labor cost only

Correct answer: C

Reason: Approach A allocates the difference using each account's percentage of total applied MOH.

6. [Moderate] Applied MOH is \$900,000 and actual MOH is \$960,000. The result is:

- A. \$60,000 overapplied
- B. \$60,000 underapplied (Correct)**
- C. \$1,860,000 underapplied
- D. No difference

Correct answer: B

Reason: $900,000 - 960,000 = -60,000$, a negative difference, so underapplied.

7. [Advanced] Department A has \$10,000 overapplied MOH and Department B has \$15,000 underapplied MOH. The net company position is:

- A. \$25,000 overapplied
- B. \$25,000 underapplied
- C. \$5,000 overapplied
- D. \$5,000 underapplied (Correct)**

Correct answer: D

Reason: $Net = +10,000 - 15,000 = -5,000$, so \$5,000 underapplied (same netting as the lecture's P 4-36).

8. [Advanced] The entry to record applied manufacturing overhead normally includes:

- A. Debit Applied MOH; Credit WIP
- B. Debit WIP; Credit Applied MOH (Correct)**
- C. Debit COGS; Credit Cash
- D. Debit Finished Goods; Credit Materials

Correct answer: B

Reason: Step 5 of the lecture's flow records applied MOH from the Applied MOH account into Work in Process. Debit/credit labels follow the standard convention (the lecture diagram has no Dr/Cr wording).

B. True or False

1. A positive value of Applied MOH - Actual MOH represents overapplied overhead.

Correct answer: True

Reason: The lecture: if the difference is (+) it is overapplied.

2. Underapplied overhead reduces COGS under the immediate write-off method.

Correct answer: False

Reason: Underapplied overhead is ADDED to COGS (P 4-34: $8,000,000 + 400,000 = 8,400,000$).

3. Proration percentages should total 100%.

Correct answer: True

Reason: The lecture notes: total % must equal 100%.

4. Different production departments may use different overhead allocation bases.

Correct answer: True

Reason: P 4-36: molding overhead uses machine-hours and painting overhead uses direct labor-hours.

5. A completed job is transferred from Work in Process to Finished Goods.

Correct answer: True

Reason: A finished order is recorded in finished goods (journal step 6).

6. Proration based on ending balances and proration based on applied MOH must always produce identical allocations.

Correct answer: False

Reason: P 4-34 shows different results: Finished Goods gets 58,668 vs 50,000 and Work in Process gets 21,332 vs 30,000.

C. Short Exercises

Exercise 1: Immediate Write-Off [Easy]

Actual MOH = \$1,320,000. Applied MOH = \$1,260,000. Unadjusted COGS = \$2,400,000.

Required:

- Determine under- or overapplied MOH.
- Calculate adjusted COGS using the immediate write-off method.

Solution

Item	Calculation	Result
a. Difference	$1,260,000 - 1,320,000$	- \$60,000 (underapplied)
b. Adjusted COGS	$2,400,000 + 60,000$	\$2,460,000

Reason: Underapplied MOH is added to COGS: actual COGS = COGS balance + underapplied amount.

Exercise 2: Proration Using Ending Balances [Moderate]

Underapplied MOH = \$120,000. Balances before proration: WIP \$300,000; Finished Goods \$600,000; COGS \$2,100,000.

Required:

Prorate the difference using ending balances.

Solution

Account	Balance	%	Share of \$120,000	Balance after (added)
WIP	300,000	10%	12,000	312,000
Finished Goods	600,000	20%	24,000	624,000
COGS	2,100,000	70%	84,000	2,184,000
Total	3,000,000	100%	120,000	3,120,000

Reason: Each account's share = its % of total ending balance x total difference. Because MOH is underapplied, each share is added to its balance.

Exercise 3: Proration Using Applied MOH [Advanced]

Overapplied MOH = \$40,000. Applied MOH included in: WIP = \$80,000; Finished Goods = \$120,000; COGS = \$600,000. Ending balances before proration: WIP = \$250,000; FG = \$500,000; COGS = \$1,800,000.

Required:

Allocate the overapplied MOH using applied MOH.

Solution

Account	Applied MOH	%	Share of \$40,000	Balance after (deducted)
WIP	80,000	10%	4,000	246,000
Finished Goods	120,000	15%	6,000	494,000
COGS	600,000	75%	30,000	1,770,000
Total	800,000	100%	40,000	-

Reason: The base is applied MOH (not the ending balances). Because MOH is overapplied, each share is deducted from its balance.

Exercise 4: Two Overhead Cost Pools [Advanced]

A company reports: Molding - Applied MOH \$210,000, Actual MOH \$200,000; Painting - Applied MOH \$150,000, Actual MOH \$165,000. Unadjusted COGS = \$900,000.

Required:

- Calculate the difference for each department.
- Calculate the net company difference.
- Calculate adjusted COGS if the net difference is written off.

Solution

Item	Calculation	Result
a. Molding	210,000 - 200,000	+ \$10,000 (overapplied)
a. Painting	150,000 - 165,000	- \$15,000 (underapplied)
b. Net difference	10,000 - 15,000	- \$5,000 (underapplied)
c. Adjusted COGS	900,000 + 5,000	\$905,000

Reason: As in P 4-36, department differences are netted for the company; a net underapplied amount is added to COGS under the write-off approach.

D. Additional Journal-Entry Exercise [Advanced]

During the period, a company reports: direct materials used = \$70,000; indirect materials used = \$8,000; direct labor = \$60,000; indirect labor = \$12,000; other actual MOH = \$20,000; applied MOH = \$45,000; cost of jobs completed = \$160,000; cost of jobs sold = \$130,000.

Required: Prepare the necessary job-order-costing entries.

Step	Account	Debit	Credit
2	Work in Process (direct materials)	70,000	
2	Actual MOH Control (indirect materials)	8,000	
2	Materials Control		78,000
3	Labor and Wages Control	72,000	
3	Wages Payable / Cash (source not given)		72,000
4	Work in Process (direct labor)	60,000	
4	Actual MOH Control (indirect labor)	12,000	
4	Labor and Wages Control		72,000
5	Work in Process (applied MOH)	45,000	
5	Applied MOH		45,000
8	Actual MOH Control (other actual MOH)	20,000	
8	Cash / Payables / Accumulated Depreciation (not given)		20,000
6	Finished Goods Control	160,000	
6	Work in Process		160,000
7	Cost of Goods Sold	130,000	
7	Finished Goods Control		130,000
9	Applied MOH (close)	45,000	
9	Actual MOH Control		45,000
10	Actual MOH Control (clears 5,000 credit balance)	5,000	

Step	Account	Debit	Credit
10	Cost of Goods Sold (write-off of overapplied MOH)		5,000
11	Income Statement	125,000	
11	Cost of Goods Sold (after disposition)		125,000

Key computations

Item	Calculation	Result
Actual MOH	8,000 + 12,000 + 20,000	\$40,000
Difference (step 10)	Applied - Actual = 45,000 - 40,000	+ \$5,000 (overapplied)
Adjusted COGS	130,000 - 5,000	\$125,000

Reason: Step numbers and account flow follow the lecture's journal-entry diagram. Overapplied MOH is deducted from COGS. No ending balances or applied-MOH split are given, so the immediate write-off approach is used (the lecture also allows proration). Debit/credit labels follow the standard convention because the lecture diagram shows only the account flow. Step 1 (purchase of materials) has no data in this exercise.

FINAL ANSWER KEY

Lecture 1 - Multiple Choice

Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8
C	B	B	D	C	C	C	A

Lecture 1 - True or False

Q1	Q2	Q3	Q4	Q5	Q6
True	False	True	True	False	True

Lecture 1 - Exercises

No.	Answer
Ex 1	Wood = DM; Assembly wages = DL; Supervisor = MOH; Factory rent = MOH; Sales commission = Non-manufacturing
Ex 2	a) \$4/h; b) \$10,000; c) $Y = 10,000 + 4X$; d) \$26,800
Ex 3	a) DL \$75,000; b) MOH \$85,000; c) Total \$205,000
Ex 4	a) \$62,000; b) \$15.50; c) \$70,000; d) average fixed cost falls as units rise, so using \$15.50 overstates cost (\$77,500 vs \$70,000)

Lecture 2 - Multiple Choice

Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8
C	B	B	B	C	B	C	C

Lecture 2 - True or False

Q1	Q2	Q3	Q4	Q5	Q6
True	False	True	False	True	True

Lecture 2 - Exercises

No.	Answer
Ex 1	a) \$30/MH; b) \$12,000; c) \$42,000
Ex 2	a) Normal \$110,000; b) Actual \$114,000
Ex 3	a) -\$30,000; b) Underapplied by \$30,000
Ex 4	a) \$20/MH; b) \$24,000; c) \$74,000; d) \$880,000; e) \$60,000 underapplied

Lecture 3 - Multiple Choice

Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8
B	B	C	B	C	B	D	B

Lecture 3 - True or False

Q1	Q2	Q3	Q4	Q5	Q6
True	False	True	True	True	False

Lecture 3 - Exercises

No.	Answer
Ex 1	a) \$60,000 underapplied; b) Adjusted COGS \$2,460,000
Ex 2	WIP +12,000 (312,000); FG +24,000 (624,000); COGS +84,000 (2,184,000)
Ex 3	WIP -4,000 (246,000); FG -6,000 (494,000); COGS -30,000 (1,770,000)
Ex 4	a) Molding +\$10,000 over; Painting -\$15,000 under; b) -\$5,000 under; c) COGS \$905,000

Lecture 3 - Journal Entry Exercise

No.	Answer
Part D	Actual MOH \$40,000; \$5,000 overapplied, deducted from COGS; adjusted COGS \$125,000